

the year to be positive, though not as bullish as the strong rally from 2020 to 2024,” says Sandeep Raina, Head of Research, Nuvama Professional Clients Group.

Till October 2024, the Nifty50 had surged around 240% from the Covid lows in March 2020. The correction in the second half of FY25 took the market cap-to-GDP ratio, a valuation indicator, to 110%, from its peak of around 150% in September 2024. India’s long-term market cap-to-GDP average has been around 85% since FY07; the 10-year average is approximately 94%.

“The landscape is changing. With Indian equities having undergone a significant correction, valuations have moderated, particularly in the mid-cap and small-cap space, making the market attractive again. Historically, FII outflows during corrections have been followed by strong inflows once valuations become favourable. We anticipate a similar trend in the coming quarters,” says Anirudh Garg, Partner and Fund Manager, Invasset PMS.

“Investors can expect volatility in the backdrop of a lot of uncertainty on the global front. One should tone down return expectations and invest keeping in mind that decent returns are likely in FY27 or FY28,” says Sunny Agrawal, DVP and Head of Fundamental Research, SBI Securities.

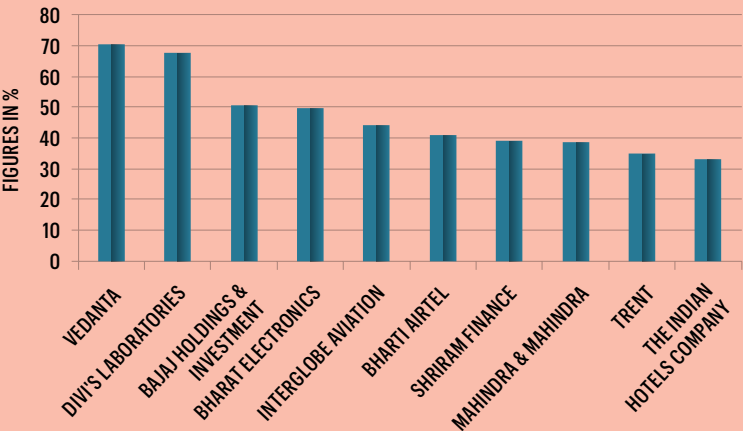
SECTORS TO WATCH

Though the overall return expectations are muted, several sectors and companies will outperform. Considering the impact of US tariffs, companies focusing on domestic consumption and investment will be able to better navigate the

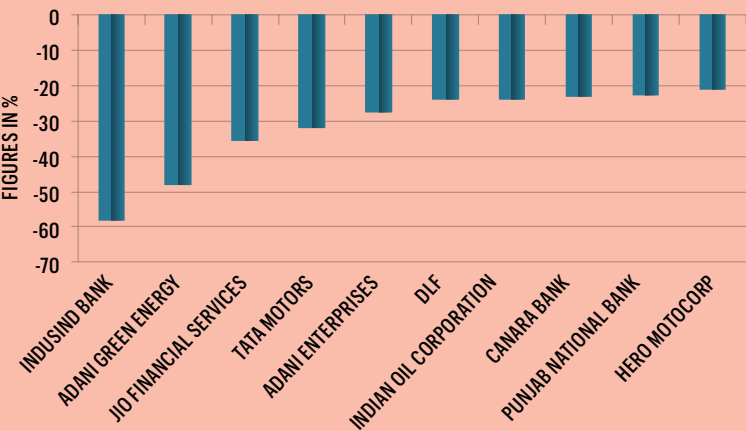
TOP NIFTY 100 GAINERS AND LOSERS OF FY25

► Nifty Pharma and Nifty Metal outperformed Nifty100 in FY25

THE LEADERS...

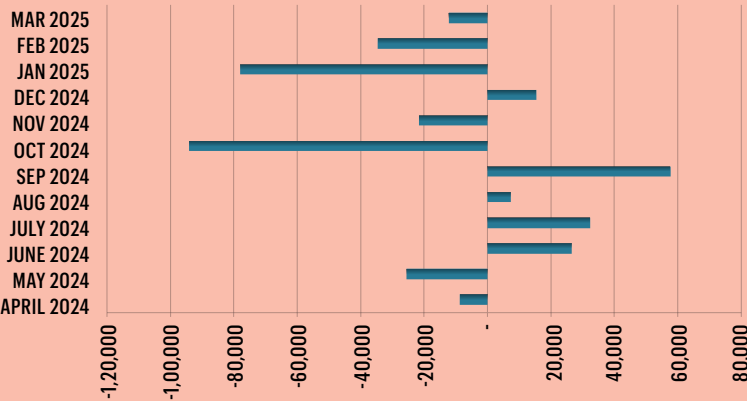


... & THE LAGGARDS



FII ACTIVITY IN FY25

► Global investors have offloaded shares worth ₹1.27 lakh crore in the past 12 months



• FII NET INVESTMENT (₹CRORE)

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